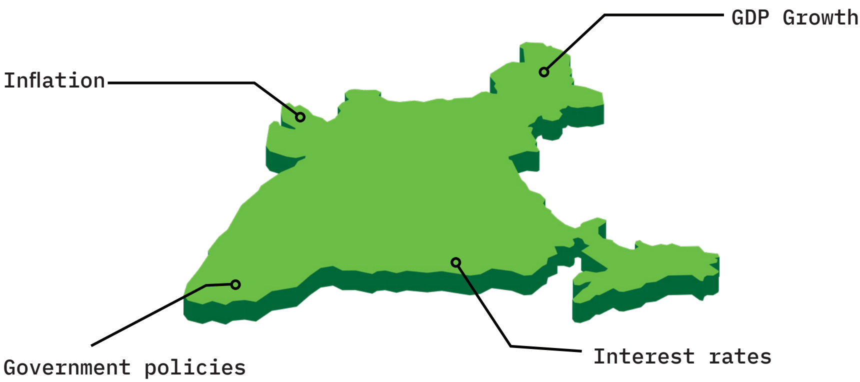
2 Macro-Economic analysis of Sectors

Macro-Economic analysis requires an investor to consider broader economic factors such as GDP growth, inflation within a particular economy, interest rates and government policies. Investors using this approach have to assess all these macro-economic factors and adjust their strategies depending on the impacts they can have on a particular sector.



3 Technical analysis of Sectors

Technical analysis of a sector involves a trader studying price and volume data to identify various price patterns, trends and support and resistance levels in a particular stock.

> Traders using this approach deal with charts, technical indicators and oscillators to analyze historical price movements to make predictions about the future price movement within a particular industry or a sector.

Now that you are familiar with the concept of Sectoral Analysis, let's talk about the positional trading strategy involving Sectoral Analysis.